Annex II. Debt Sustainability Analysis[1]

Risk of external debt distress:	High
Overall risk of debt distress	High
Granularity in the risk rating	Sustainable on a forward-looking basis
Application of judgement	No

The debt sustainability analysis (DSA) indicates that St. Vincent and the Grenadines' public debt is sustainable on a forward-looking basis but remains at high risk of distress for both external and overall public debt, broadly unchanged from the 2020 DSA.[2] The pandemic took a heavy toll on the economy and the humanitarian crisis created by the explosive volcanic eruption is expected to deteriorate the near-term outlook and to add stress to the public finances. Total public and publicly guaranteed debt is expected to increase from 87 percent of GDP in 2020 to around 104 percent in 2021 due to the contraction in economic activity and the government's response to the eruption. Public debt is expected to start declining in 2022 as the pandemic and eruption dissipate and the economy recovers strongly, with the pace of decline notably increasing in 2025 once the port project and reconstruction projects are completed.

The authorities remain committed to fiscal consolidation once the recovery is entrenched and to increase the central government primary balance from a deficit of 9.4 percent of GDP in 2021 to a surplus of at least 3.0 percent of GDP by 2026, mainly through expenditure-side measures (e.g., containing the growth of current spending and reprioritizing capital programs). This will put the debt-to-GDP ratio on a solid downward path and make debt sustainable on a forward-looking basis. Under staff's baseline scenario, the present value (PV) of public debt and of external debt as a percent of GDP are projected to start falling in 2022 and meet indicative benchmarks by 2031 and 2034, respectively. Reflecting the resilience of tax revenues, the PV of debt to revenue and debt service to revenue ratios remain close to the 2020 RCF request and below indicative thresholds. The PV of external debt-to-exports and the debt service-to-exports ratios would fall below the indicative threshold by 2024.

BACKGROUND ON PUBLIC SECTOR DEBT

1. **There are no data gaps in public sector debt coverage (Text Table 1).** Public sector debt includes central government and state-owned enterprises (SOEs) debt. There are no local governments and all of SOEs' debt is guaranteed by the central government. Thus, the combined contingent liability stress test excludes contingent liabilities from SOEs. As of end-2020, the outstanding stock of total public debt was EC$1.9 billion (86.9 percent of GDP) up from EC$1.7 billion in 2019 (75.2 percent of GDP). Central government debt was EC$1.7 billion

[1] This joint Bank-Fund DSA has been cleared by Patricia Alonso-Gamo, Chad Steinberg (IMF) and Marcello Estevão, Robert R. Taliercio (IDA).

[2] St. Vincent and the Grenadines' score in the Composite Indicator (CI) is 2.95, implying that the country's debt carrying capacity is classified as medium. St. Vincent and the Grenadines' CI was calculated based on the October 2020 WEO and the 2019 CPIA. The classification determines the corresponding debt and debt service benchmarks for the external public and publicly guaranteed external debt and for total public debt.

(79.5 percent of GDP) in 2020, up from EC$1.5 billion in 2019 (67.7 percent of GDP), and SOEs debt was EC$0.16 billion (7.4 percent of GDP) in 2020 down from EC$0.17 billion (7.6 percent of GDP).[2]

Text Table1. St. Vincent and the Grenadines: Coverage of Public Sector Debt

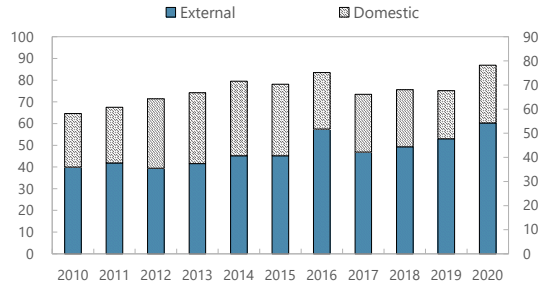
	Subsectors of the public sector	Sub-sectors covered
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	
8	Non-guaranteed SOE debt	

2. The composition of public debt is dominated by external debt (Text Figure 1). As of end 2020, the stock of external debt accounted for 69 percent of total public debt, while domestic debt accounted for 31 percent of total.[3] The authorities report no arrears to external or domestic creditors.

3. External public debt increased from 53 percent of GDP in 2019 to 60 percent of GDP in 2020. The increase in the external public debt-to-GDP ratio reflects the COVID-19 shock on the economy (i.e., 3.8 percent contraction) and the cost of the government response to the pandemic (2.5 percent of GDP). Most public external debt is with multilateral and bilateral donors (58.7 percent and 20.2 percent of total, respectively) on concessional terms. The remaining 21.1 percent is mainly with regional private creditors, including banks, pension funds, and other regional financial institutions (Text Figure 2 and Text Table 2).

Text Figure 1. St. Vincent and the Grenadines: Public Sector Debt

(Percent of GDP)



Sources: St. Vincent and the Grenadines authorities and IMF staff calculations.

4. The majority of domestic debt is in the form of treasury bills and government bonds (53 percent of total domestic debt). The remainder consists of loans in local currency (25 percent of total), and accounts payable (about 7 percent).[4] Most of the government securities are held by the buy-and-hold national and regional pension systems, insurance companies, and commercial banks.

[2] There is an EC$0.3 billion limit on SOEs' total debt.

[3] For the purpose of the DSA, external debt is defined as non-EC$ denominated debt.

[4] Debt classification is based on a residency basis, treating local currency-denominated debt issued in the local debt market and held by non-residents as external debt.

Text Table 2. St. Vincent and the Grenadines: Public Sector External Debt

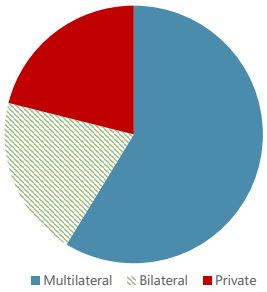
(Percent of total and percent of GDP)

	2019		2020	
	Total	GDP	Total	GDP
Total	**100.0**	**53.0**	**100.0**	**60.3**
Multilateral	**47.1**	**24.9**	**58.7**	**35.4**
World Bank	16.4	8.7	29.6	17.9
Caribbean Development Bank	28.5	15.1	24.0	14.5
IMF	0.9	0.5	4.1	2.5
Other	1.3	0.7	1.0	0.6
Bilateral	**34.1**	**18.1**	**20.2**	**12.2**
Paris Club	2.9	1.5	1.8	1.1
Non-Paris Club	31.2	16.5	18.4	11.1
Private Creditors[1, 2]	**18.8**	**10.0**	**21.1**	**12.7**

Source: Ministry of Finance, St. Vincent and the Grenadines.
[1] Includes external debt contracted to build the new port.
[2] Includes T-bills held by ECCB, regional banks, insurance companies, pension funds, among others.

Text Figure 2. St. Vincent and the Grenadines: Public and Publicly Guaranteed External Debt

(Percent of total)



Sources: St. Vincent and the Grenadines' authorities and IMF staff calculations.

CHANGE IN THE MACROECONOMIC FORECAST RELATIVE TO PREVIOUS DSA

5. The fallout from the COVID-19 and the humanitarian crisis created by the explosive volcanic eruption shocks are severely affecting the near and medium-term macroeconomic outlook.

- St. Vincent and the Grenadines navigated the COVID-19 shock relatively well. Throughout 2020, the number of confirmed cases were successfully contained due to the swift response of the government, including by the introduction of social distancing measures, requiring the use of face masks, and the closing of schools, among others. The spread of the coronavirus in source markets, however, dampened the tourism demand, with tourism-related activity falling by around 70 percent. The absence of full-lockdown measures and the effective implementation of a fiscal package partly offset the impact on the COVID-19 shock on the economy.[5] Against this background, the GDP contraction in 2020 was relatively moderate when compared to more tourism-dependent economies in the ECCU region.

- Prior to the eruption of the La Soufriere volcano, the confirmed number of COVID-19 cases had surged at the beginning of 2021 in tandem with the increase in tourist arrivals and in the number of nationals returning to St. Vincent for the Christmas holiday season, but had fallen sharply by the end of February. In the April 2021 World Economic Outlook, growth was expected to remain flat in 2021 and to accelerate to 5 percent in 2022 reflecting an expected recovery in

[5] Expenditure measures included: (i) an increase in funding for the health sector to construct an isolation unit (recently finished), purchase drugs and equipment, and hire extra medical staff; (ii) various construction projects to generate jobs; (iii) support to agriculture, fishery and tourism sectors; (iv) temporary increase of the social safety net to protect the most vulnerable; and (v) an income support program for workers displaced in the tourism sector.

the second half of 2021 driven by the return of tourists during the high season and the pick-up of construction activity.[6]

- The explosive eruption of the La Soufriere Volcano on April 9, 2021 has compounded the economic and social fallout from the COVID-19 pandemic. Preliminary damage assessment conducted by the authorities and the World Bank on April 20 suggests that most agricultural output and a substantial share of livestock has been lost in the areas surrounding the volcano, and that the estimated direct damage to infrastructure and buildings would exceed US$150 million (20.5 percent of GDP). Despite uncertainty about the duration of the eruption of the volcano, experts estimate that volcanic eruptions could continue over the next few weeks, possibly months. Tourism in the high-end Grenadines has not been affected significantly. Against this background, the economy is expected to further contract by 6.1 percent in 2021.

- The fiscal performance was relatively robust despite the pandemic. Revenue collection improved in 2020, with total revenues and grants reaching 32½ percent of GDP, up 2 percentage points of GDP from 2019. On the spending front, due to the COVID-19 response measures, total expenditure increased by 4½ percentage points to 38 percent of GDP in 2020. As a result, the overall deficit widened from 3 percent of GDP in 2019 to 5¾ percent of GDP in 2020. Public debt rose from 75 percent of GDP in 2019 to 87 percent of GDP in 2020.

- In 2021, the fiscal position is expected to weaken due to the humanitarian crisis created by the explosive eruption of La Soufriere volcano. While estimated revenues are projected to fall in line with economic activity, a collapse in collection is not expected. On the expenditure side, the government's preliminary fiscal package to address the humanitarian crisis and healthcare needs, estimated at US$55.1 million equal to 7¼ percent of GDP, will put pressure on the public finances. Reflecting the authorities' efforts to reprioritize spending programs to create room for the emergency-related spending, the increase in total expenditure will be limited to about 6 percentage points of GDP. The overall deficit is projected to widen to 12½ percent of GDP in 2021 (up from the projected 5.9 percent of GDP prior to the volcanic eruptions). Public debt is projected to increase to around 104 percent of GDP.

- Once the explosive volcanic eruptions stop, the authorities' plans include the clean-up and reconstruction of the damages caused by the volcano. The fiscal costs initially estimated by the government could reach US$100 million (13 percent of GDP).

- On the external side, the current account deficit is projected to widen further in 2021 to 22.2 percent of GDP, due to a 31 percent decline in tourist receipts, a fall in agriculture and fishing exports and an increase in emergency-related imports to address the volcanic eruptions. Net FDI is also expected to fall by 2¼ percent of GDP reflecting delays in the execution of private sector investments. With the worsening of the current account balance and the financial account, the level of imputed international reserves is expected to decline from 7 months of

[6] Tourism-related sectors (hotels, restaurants, transport, and retail trade) and wholesale sector (which cannot be stripped out due to data limitation) account for about 30 percent of GDP in national accounts.

total imports of goods and services in 2020 to 5 months in 2021.[7] In the absence of external financing to assist St. Vincent and the Grenadines to address the humanitarian crises, the reserves coverage could fall to around two months of imports.

6. The execution of the port modernization project has been delayed further. The delays largely reflect the fallout from the volcanic eruptions. Its construction is now expected to commence only in the second half of 2022. While the construction of the new port, which is fully financed, would support construction demand, it will also put pressure on public finances.

7. Over the medium term, the economic prospects are more favorable. Staff projects real GDP growth to rebound to 8.3 percent in 2022, with relatively high levels of growth through 2025 before stabilizing to a more sustainable level of 2.7 percent thereafter. Key assumptions include: (i) the effective rollout of the COVID-19 vaccines in source markets and in St. Vincent and the Grenadines; (ii) the volcanic eruptions cease by August 2021 as estimated by the expert volcanologists permitting cleanup and reconstruction activities to commence shortly after that; (iii) a moderate rebound in stayover tourism arrivals in the next tourism season (December 2021-March 2022); (iv) the construction of the new port project to commence in the second half of 2022; and (v) over the medium term, net FDI inflows continue to rise, particularly in the tourism sector and the investment climate is improved. Inflation is projected to stay at around 2 percent (broadly in line with inflation expectation in the United States).[8] The current account deficit would narrow, and with a recovery in net FDI inflows, the level of imputed international reserves would stay over 4 months of prospective imports of goods and services.

8. Fiscal assumptions under the DSA baseline scenario are as follows (Text Table 3).

- The primary balance for the public sector is projected to average a deficit of 3½ percent of GDP in 2021–24, worse than at the time of the 2020 DSA due mainly to the humanitarian crisis and the ensuing reconstruction needs stemming from the explosive eruption of La Soufriere, a more protracted recovery of the economy due to the COVID-19 shock with tourism activity expected to return to 2019 levels by 2024 compared to 2023 at the time of the RCF, and the continued COVID-19-related government support to people and sectors affected by the pandemic. Excluding the port, reconstruction activity and COVID-related spending, the primary balance would average a surplus of 4 percent of GDP exceeding the projected surplus of 3 percent of GDP at the time of the RCF. Once the reconstruction efforts and the port project are completed, the primary balance would improve to a surplus of 3½ percent of GDP in 2026–28.

[7] Calculated as the stock of imputed international reserves in year T divided by total imports of goods and services in year T+1. For 2021, the import coverage ratio assumes prospective official financing from IMF and the World Bank.

[8] St. Vincent and the Grenadines is a member of the Eastern Caribbean Currency Union, and the exchange rate peg against the U.S. dollar (EC$2.7 per dollar) provides an anchor for inflation.

- Natural disasters (i.e., hurricanes and floods) occur at the magnitude and frequency of the last 15 years. The average annual fiscal cost is estimated at 1.4 percent of GDP, of which 0.7 percent of GDP is covered by the contingency fund and the remaining 0.7 percent from current allocations in goods and services and transfers.

Text Table 3. St. Vincent and the Grenadines: Selected Macroeconomic Indicators Assumptions

	2020	2021	2022	2023	2024	2025	2026
2020 RCF DSA							
Nominal GDP (EC$, millions)	2,131	2,255	2,370	2,487	2,607	2,731	2,862
Real GDP growth, (percent change), market price	-5.5	4.1	3.0	2.9	2.7	2.7	2.7
Inflation (GDP deflator, percent change)	0.9	1.6	2.0	2.0	2.0	2.0	2.0
Current account balance (percent of GDP)	-17.5	-12.1	-12.7	-10.8	-9.6	-8.3	-8.3
Central government, primary balance (percent of GDP)	-3.7	-1.9	-1.8	-1.1	1.1	2.1	2.8
Central government, underlying primary balance (percent of GDP) 1/	-3.1	1.9	4.1	3.2	1.7	2.1	2.8
Central government, fiscal balance (percent of GDP)	-6.2	-4.5	-4.5	-4.1	-1.7	-0.4	0.2
Central government, underlying fiscal balance (percent of GDP) 1/	-5.7	-0.6	1.4	0.2	-1.1	-0.4	0.2
Public sector, primary balance (percent of GDP)	-3.6	-2.0	-1.5	-0.6	1.6	2.5	3.3
Public sector, underlying primary balance (percent of GDP) 1/	-3.0	1.9	4.5	3.7	2.2	2.5	3.3
Public sector, fiscal balance (percent of GDP)	-6.4	-4.7	-4.3	-3.4	-1.2	-0.1	0.9
Public sector, underlying fiscal balance (percent of GDP) 1/	-5.8	-0.9	1.6	0.9	-0.6	-0.1	0.9
Total public debt (percent of GDP)	85.8	85.5	85.4	84.8	82.1	78.5	73.8
2021 RCF DSA							
Nominal GDP (EC$, millions)	2,132	2,032	2,263	2,460	2,623	2,766	2,899
Real GDP growth, (percent change), market price	-3.8	-6.1	8.3	6.1	4.2	3.3	2.7
Inflation (GDP deflator, percent change)	-0.6	2.0	2.1	2.1	2.0	2.0	2.0
Current account balance (percent of GDP)	-16.3	-22.2	-12.2	-14.3	-11.3	-10.5	-9.6
Central government, primary balance (percent of GDP)	-3.3	-9.4	-1.0	-1.6	-0.9	-0.6	3.0
Central government, underlying primary balance (percent of GDP) 1/	-2.7	1.5	3.8	4.1	6.1	2.9	3.0
Central government, fiscal balance (percent of GDP)	-5.7	-12.6	-4.0	-4.9	-4.1	-3.5	0.1
Central government, underlying fiscal balance (percent of GDP) 1/	-5.1	-1.7	0.8	0.8	3.0	-0.1	0.1
Public sector, primary balance (percent of GDP)	-3.2	-9.6	-1.1	-1.4	-0.8	-0.5	3.2
Public sector, underlying primary balance (percent of GDP) 1/	-2.7	1.3	3.6	4.3	6.2	2.9	3.2
Public sector, fiscal balance (percent of GDP)	-6.1	-13.0	-4.2	-4.5	-3.8	-3.4	0.5
Public sector, underlying fiscal balance (percent of GDP) 1/	-5.5	-2.1	0.6	1.2	3.2	0.0	0.5
Total public debt (percent of GDP)	86.9	103.7	96.8	93.2	90.9	89.4	84.8

Source: St. Vincent and the Grenadines Ministry of Finance and IMF Staff calculations and projections.
1/ Excludes COVID-19, volcano and port-related spending.

- Projected external loan disbursements for 2021–30 include those from existing loan contracts (US$390 million) and new loans (US$275 million). The former include financing for the port project, Regional Disaster Vulnerability Reduction Program, tourism competitiveness project, agriculture competitiveness program, water and energy sectors, and the construction of government owned hotels, among others. Most of the new external financing is expected to come from multilateral and bilateral donors, including prospective financing (US$85 million) to cover the financing gap that has emerged due to the explosive volcanic eruptions. The authorities are engaging with the World Bank, the Caribbean Development Bank for budget support financing, and other donors to respond to the emergency. These will contribute to maintaining an average grant element of new debt at 35 percent during 2021–30.

REALISM OF THE MACROFRAMEWORK

9. Debt dynamics (Figure 3). The fiscal position will weaken amid the needs created by explosive volcanic eruptions and the lingering effects of the COVID-19 shock. Total public and publicly guaranteed debt is expected to increase from 86.9 percent of GDP in 2020 peaking at 103.7 percent in 2021. Thereafter, public debt is projected to decline gradually, supported by the expected strong rebound in economic activity post COVID-19 shock, the conclusion of the reconstruction activities, the port, and the authorities' commitment to implement fiscal consolidation measures once the twin shocks are under control, including (i) adherence to the Fiscal Responsibility Framework (FRF), (ii) strengthening tax administration; (iii) restraining the growth of recurrent spending; and (iv) prioritizing and re-evaluating public investment projects in the pipeline.

10. The baseline scenario reflects staff's most realistic estimates (Figure 4). Prior to the global pandemic, the authorities had maintained a relatively prudent fiscal policy stance, instituted a contingencies fund for natural disasters, strengthened the oversight of state-owned enterprises and introduced a FRF in 2020. The fiscal position did not deteriorate as expected at the time of the 2020 DSA despite the significant size of the COVID-19 shock as total revenue rose 2½ percentage points of GDP in 2020 relative to 2019 in response to robust revenue collection in 2020 from personal income tax, excise duties and capital revenue more than offset a fall in VAT receipts.[9] Ahead of the volcanic eruption, the 2021 Budget had taken further measures to boost domestic revenue mobilization, including increasing the customs service charge. The projected widening of the fiscal balance in the near and medium-term reflects the twin impact from the COVID-19 shock and the eruption of the La Soufriere volcano. Beyond 2021, growth will be supported by the phased construction of the new port, increased tourist arrivals, reconstruction activity, other public investment projects and private and public investments in hotels.

COUNTRY CLASSIFICATION

11. St. Vincent and the Grenadines' debt-carrying capacity is medium (Text Table 4). St. Vincent's Composite Indicator (CI) index (which determines the indicative thresholds to assess a country's debt sustainability) is calculated as 2.95, corresponding to a "medium" rating.[10] St. Vincent's debt carrying capacity is unchanged compared to the rating under the previous Country Policy and Institutional Assessment (CPIA) methodology.[11] The corresponding scores for the CI index

[9] The better-than-expected revenue performance relative to the 2020 DSA was driven by a stronger growth outturn and tax revenue measures, notably from tax administration.

[10] The CI index captures the impact of the weighted average of the World Bank's CPIA score, the country's real economic growth, remittances, international reserves, and world growth. The CI calculation is based on 10-year averages of the variables including 5 years of historical data and 5 years of projections. The index was calculated using the October 2020 WEO data and the 2019 CPIA.

[11] Countries are rated based on a set of 16 backward-looking criteria grouped into four areas including economic management, structural policies, policies on social inclusion and equity, and public-sector management and institutions.

determine the relevant thresholds for St. Vincent and the Grenadines for both external and total public debt (Text Table 4).

Text Table 4. St. Vincent and the Grenadines: Debt-Composite Indicator and Threshold Tables

Calculation of the CI Index

Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.385	3.650	1.41	48%
Real growth rate (in percent)	2.719	1.406	0.04	1%
Import coverage of reserves (in percent)	4.052	41.624	1.69	57%
Import coverage of reserves^2 (in percent)	-3.990	17.326	-0.69	-23%
Remittances (in percent)	2.022	5.632	0.11	4%
World economic growth (in percent)	13.520	2.928	0.40	13%
CI Score			2.95	100%
CI rating			Medium	

Applicable Thresholds

APPLICABLE	
EXTERNAL debt burden thresholds	
PV of debt in % of	
Exports	180
GDP	40
Debt service in % of	
Exports	15
Revenue	18

APPLICABLE	
TOTAL public debt benchmark	
PV of total public debt in percent of GDP	55

12. The combined contingent liability stress test is aligned to St. Vincent's specific risks (Text Table 5)**.** The stress test includes risks pertaining to financial markets. SOEs' debt, which is guaranteed by the government, is excluded from the stress test as it is already included in total public debt.[12]

Text Table 5. St. Vincent and the Grenadines: Combined Contingent Liability Shock

	The country's coverage of public debt	The central government, government-guaranteed debt		
		Default	Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0 percent of GDP	0.0	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	0.0	
4	PPP	35 percent of PPP stock	0.0	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	5.0	
	Total (2+3+4+5) (in percent of GDP)		5.0	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

[12] Potential contingent liabilities from the pension system are not included. Parametric reforms introduced in 2014 improved the sustainability of the National Insurance System (NIS), but only temporary, as its reserves are projected to be depleted by around 2033. Currently, the government is assessing options to further strengthen NIS's financial position and to reduce the burden from the public service pension system.

DEBT SUSTAINABILITY ANALYSIS

A. External Debt Sustainability Analysis

13. The risk of external debt distress is high.

- **Under the baseline scenario, the PV of external debt-to-GDP ratio** would meet the indicative threshold of 40 percent of GDP by 2034 (Figure 1 and Table 1). It remains above the threshold during the projection period under stress test scenarios, including due to shocks to growth, exports, and a hypothetical one-time 30 percent depreciation (Tables 3 and 4). The shock that generates the largest impact on the PV of debt-to-GDP ratio is a combination of the mentioned shocks with the PV of external debt potentially reaching 110 percent of GDP by 2023, but then gradually declining to below 70 percent of GDP by 2033.

- **The PV of external debt-to-exports ratio and the PPG external debt service-to-exports ratio** would both temporarily breach (through 2023) the indicative thresholds under the baseline scenario. A shock to exports pushes the debt service-to-exports ratio to 60 percent in 2023, well above the 15 percent threshold. The shock to exports keeps the PV of external debt-to-exports ratio above its indicative threshold (180 percent) over the projection period.

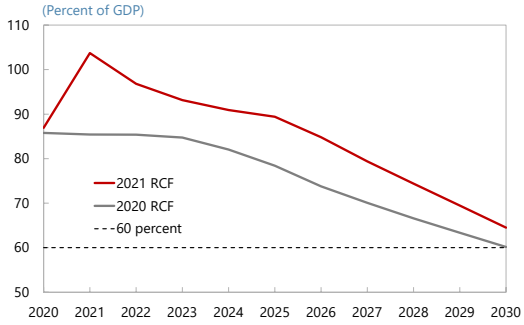
- **Reflecting the resilience of tax revenues as well as measures taken in 2021, the PV of debt-to-revenue and the debt service to revenue ratios** remain close to the 2020 RCF. Only with the combined shock does the debt service to revenue ratio breach its threshold in 2026 (18 percent).

B. Public Debt Sustainability Analysis

14. The overall risk of debt distress remains high (Figure 2 and Table 2). The PV of public debt is estimated to peak at 101.6 percent of GDP in 2021 before starting to decline in 2022. Once reconstruction efforts and the port project are completed, the PV of public debt is projected to fall to 60 percent by 2030 and meet the benchmark of 55 percent of GDP by 2031. The public debt to GDP ratio is also expected to fall to below 60 percent in 2031, meeting the ECCU's debt target ahead of the 2035 goal reflecting the consolidation efforts assumed under the baseline scenario. Under the "most extreme stress scenario," which assumes real GDP growth equal to its historical average (10 years) minus one standard deviation for 2021 and 2022, the PV of public debt could reach 150 percent of GDP by 2028. Under other alternative scenarios including a shock to exports, the PV of public debt (as a share of GDP) would reach 118 percent by 2023 but fall below 100 percent by 2028, meeting the 55 percent threshold by 2035.

15. A natural disaster scenario was conducted reflecting St. Vincent and the Grenadines' exposure to natural disasters.[13] Under the tailored test of "one-time natural disaster" the PV of public debt would peak at 102 percent of GDP in 2022 and decline to 66 percent of GDP by 2031. Under the current baseline scenario that includes the eruption of the volcano, the expected fiscal consolidation measures will contribute to a faster reduction in the PV of public debt and to meet the 55 percent of GDP by 2031. The custom recurrent natural disaster tailored scenario was not applied given that the baseline already includes a large natural disaster that exceeds by far the standard natural disaster stress test.

Text Figure 3. St. Vincent and the Grenadines: Public Debt
(Percent of GDP)



Sources: Ministry of Finance and IMF staff calculations.

RISK RATING AND VULNERABILITIES

16. St. Vincent and the Grenadines' debt is at high risk of distress but is deemed sustainable on a forward-looking basis, broadly unchanged from the 2020 DSA assessment. The debt to GDP increase is driven by once-in-a-generation natural disaster following a once in a century global pandemic Once these two shocks recede and the authorities' fiscal plans are implemented, debt should be placed in a firmly downside path. Before the pandemic, the authorities had maintained a relatively prudent fiscal policy stance and sought to improve the fiscal framework. The authorities remain committed to fiscal prudence and are targeting an increase to the central government primary balance from a deficit of 9.4 percent of GDP in 2021 to a surplus of around 3.0 percent of GDP by 2026, consistent with the FRF. Revenue measures, including increase in the customs' service charge (expected to yield 1 percent of GDP) were approved in February 2021 at the time of the approval of the budget. Additional consolidation measures include: (i) enhanced taxpayers compliance, especially by focusing on large taxpayers and by adhering to the recently enacted Tax Administration Procedures Act;[14] (ii) rationalizing exemptions from import duties and VAT on imports; (iii) and expenditure-side measures such as containing the growth of non-interest recurrent spending and partially creating room for the additional spending needs created by the eruption of La Soufriere by reprioritizing the government investment program.[15] Altogether, the authorities' measures will ensure that the debt-to GDP ratio peaks in 2021 and declines thereafter, with the debt-to-GDP ratio and debt service on a solid downward path once the port project and the reconstruction efforts are completed in 2025. Staff estimate that absent of the volcano,

[13] This scenario, unchanged relative to the 2018 DSA, assumes that the fiscal costs due to the damages from this severe disaster are assumed to be 10 percent of GDP, in addition to the 1.4 percent of GDP assumed in baseline. Under this scenario, real GDP growth is assumed to be 2 p.p. lower relative to the baseline in 2022, but it further rebound in 2023 reflecting the reconstruction efforts. The government is assumed to finance the fiscal costs through new debt.

[14] The authorities report tax administration gains and collection of past arrears amounting to 2 percent of GDP prior to the volcanic eruption.

[15] Among the measures already taken in 2021 include constraining wage costs through moderating wage payments and keeping vacancies unfilled.

pandemic and port-related spending, the primary deficits over 2021–26 would have resulted in primary surpluses of around 3 ½ percent of GDP. Beyond the authorities' fiscal plans, there are mitigating factors such as no roll-over risks associated with short-term debt and favorable external debt service schedule due to the DSSI[16] and relatively favorable terms given the large share of concessional financing. Moreover, revenues exceed 30 percent of GDP and have proved to be resilient during the pandemic and in the aftermath of volcanic eruption. Combined with the authorities' strong commitment to long-term fiscal consolidation as embodied in the FRF, a commitment to honor its creditors, and cautious debt management strategy, St. Vincent and the Grenadines' debt is assessed as sustainable on a forward-looking basis while risks to debt sustainability remain elevated.

17. Risks to the medium term are tilted to the downside consistent with a "high" risk rating for external and public debt distress. The COVID-19 shock could be more prolonged than assumed, resulting in a deeper and more protracted damage to the tourism sector. In addition, were wider local outbreaks to erupt amid the fallout from the explosive eruption of La Soufriere, or the volcanic eruptions extend beyond August 2021, the economic recession would be more severe and protracted. Furthermore, once the hurricane season starts in June, St. Vincent and the Grenadines could be hit by another natural disaster. Given these substantial uncertainties around growth and debt-service capacity, the authorities' LOI commitment to prudent fiscal management once the twin crisis are under control including by adhering to the FRF and the timely transfer of budgeted appropriations to the Contingencies Fund will help ensure debt sustainability.

18. To reduce vulnerabilities, the authorities should seek concessional loans and further strengthen fiscal institutions. Large scale public investments, if financed through less concessional financing terms, could undermine debt sustainability. Accordingly, efforts are needed to keep new borrowing on concessional terms. Furthermore, the authorities should continue efforts to strengthen public investment management, and further improve the medium-term fiscal policy framework. Additional fiscal measures will be needed to bolster fiscal buffers and protect public finances from the impact of natural disasters and climate change.

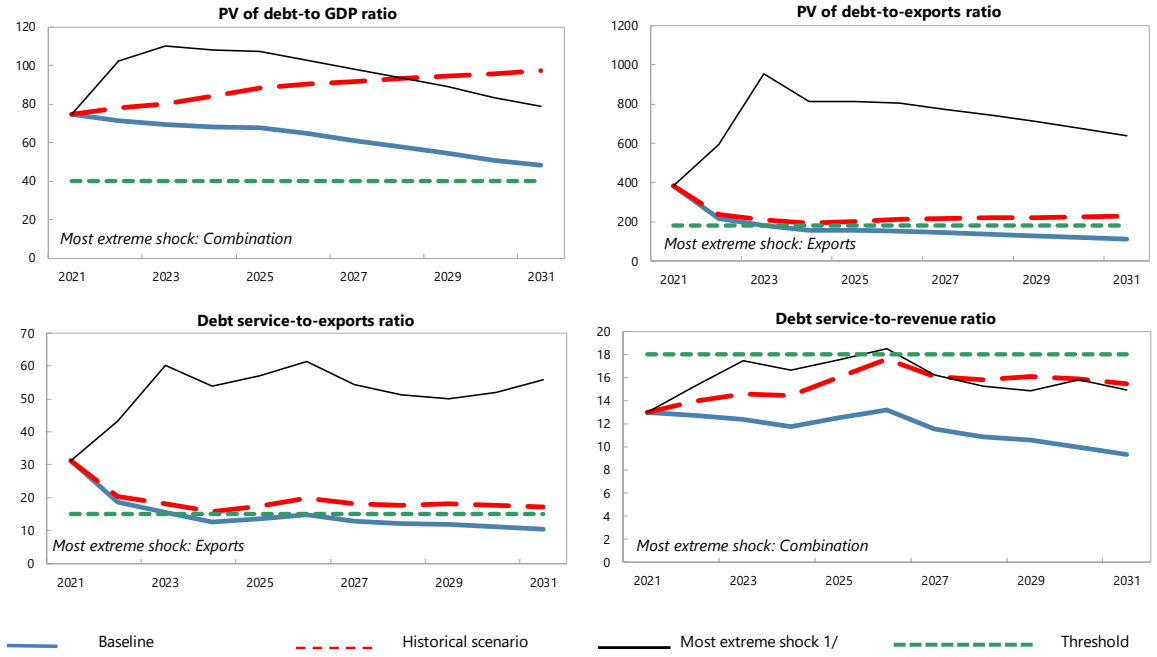
AUTHORITIES' VIEWS

19. The authorities agreed with the debt sustainability assessment under the baseline scenario. They noted that their commitment to the FRF will help them to put public debt on a sustainable path once the COVID-19 shock and the phased construction of the port and the reconstruction efforts are completed. They agreed that external shocks such as the COVID-19 pandemic and natural disasters such as the explosion of La Soufriere volcano pose risks to debt dynamics but reiterated their commitment to fiscal discipline to put the debt-to-GDP ratio on a firmly downward trajectory by implementing fiscal consolidation measures once the twin crisis are under control. In this context, they commit to the timely transfer of budgeted appropriations to the

[16] Through the DSSI, payments worth USD 1.9 million between January-June 2021 have been postponed to December 2022 whereupon all corresponding amounts are to be paid in ten installments every six months. The authorities have applied for an extension under the DSSI covering July-December 2021.

contingencies fund to rebuild fiscal buffers. They agreed that additional fiscal reforms would be needed to create additional fiscal space to support their capital spending program, and especially so if the country continues to be hit by natural disasters.

Figure 1. St. Vincent & the Grenadines: Indicators of Public and Publicly Guaranteed External Debt under Alternatives Scenarios, 2021–31



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	Yes	
Natural disaster	No	No
Commodity price	n.a.	n.a.
Market financing	n.a.	n.a.

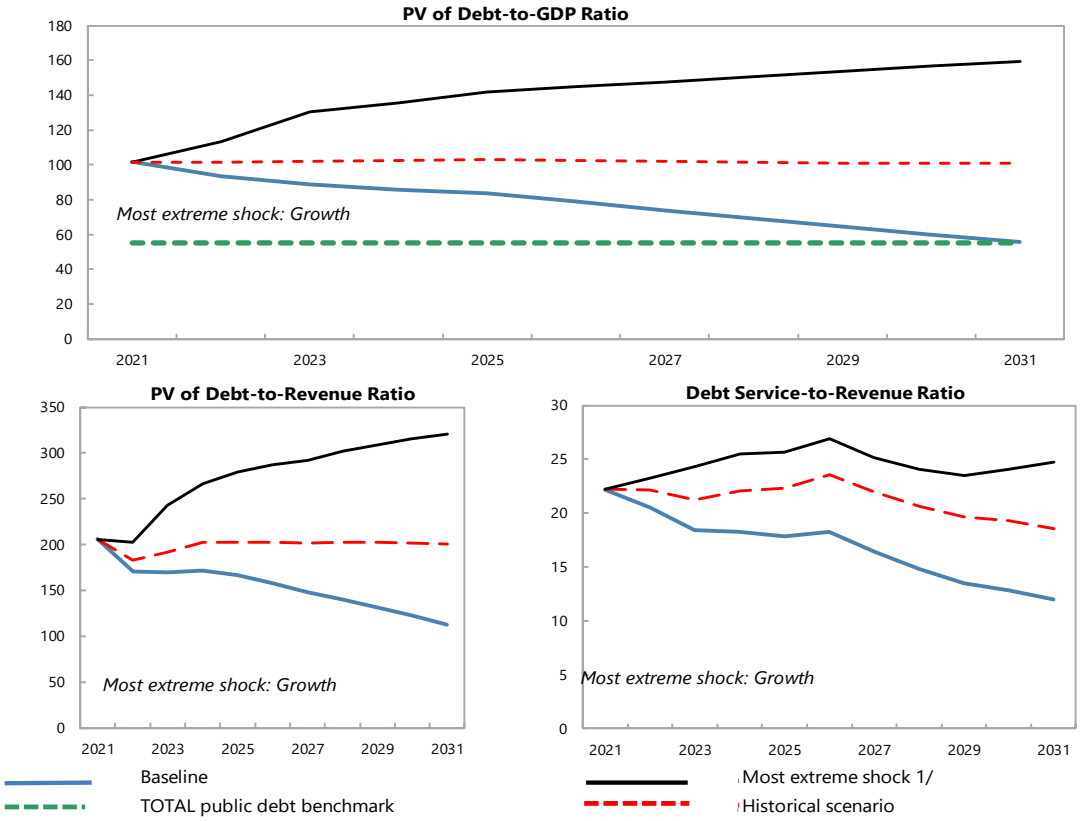
Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	1.9%	1.9%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	30	30
Avg. grace period	7	7

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio in or before 2031. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 2. St. Vincent & the Grenadines: Indicators of Public Debt Under Alternative Scenarios, 2021–31



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	87%	87%
Domestic medium and long-term	9%	9%
Domestic short-term	5%	5%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.9%	1.9%
Avg. maturity (incl. grace period)	30	30
Avg. grace period	7	7
Domestic MLT debt		
Avg. real interest rate on new borrowing	5.4%	5.4%
Avg. maturity (incl. grace period)	9	9
Avg. grace period	5	5
Domestic short-term debt		
Avg. real interest rate	-0.7%	-0.7%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

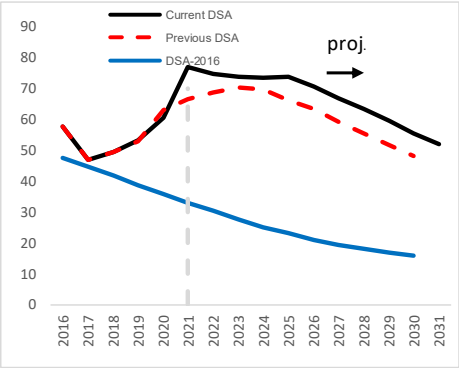
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2031. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

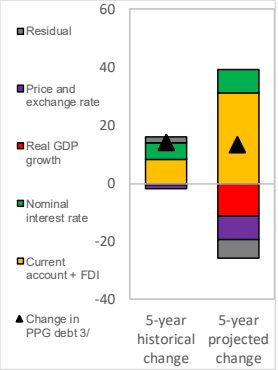
Figure 3. St. Vincent & the Grenadines: Drivers of Debt Dynamics - Baseline Scenario

External debt

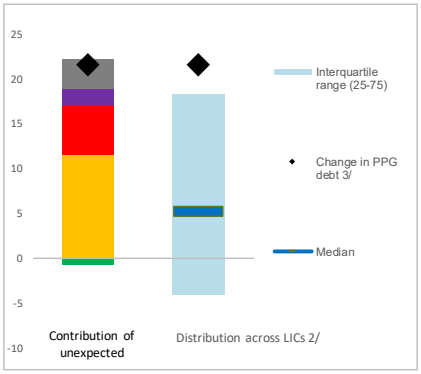
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

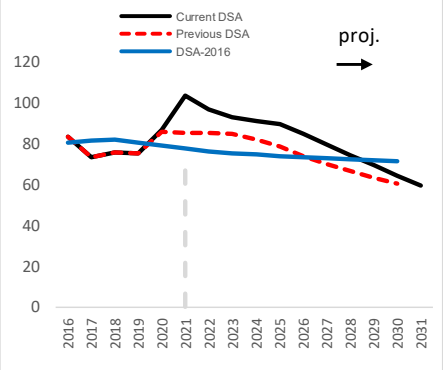


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

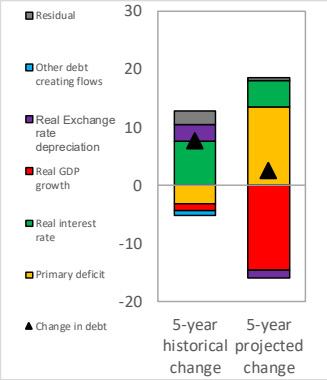


Public debt

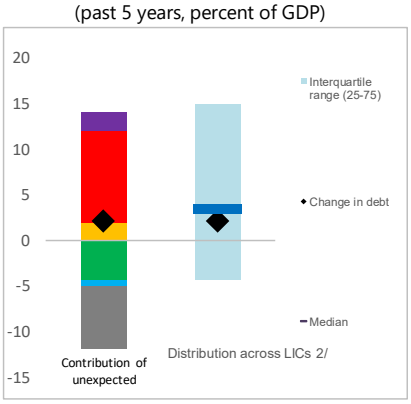
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



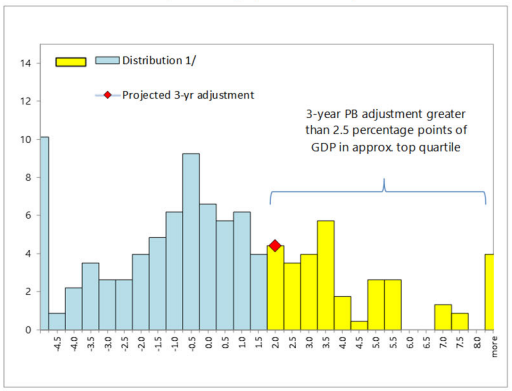
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

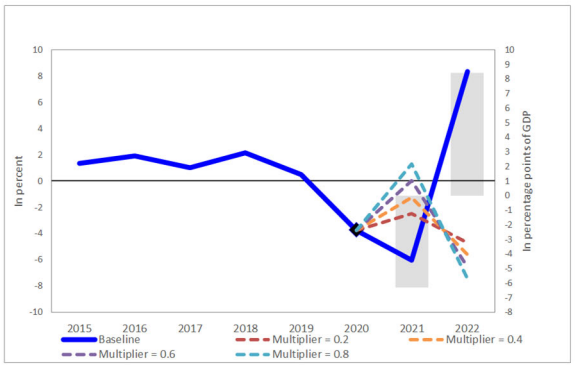
Figure 4. St. Vincent & The Grenadines: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



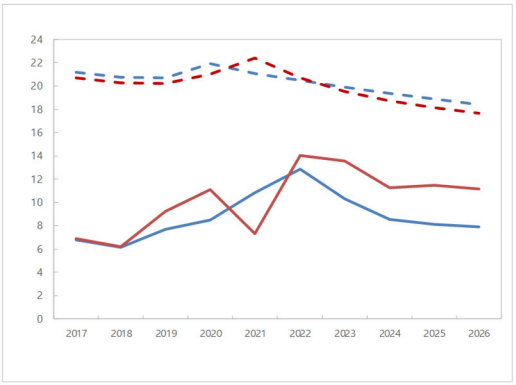
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/

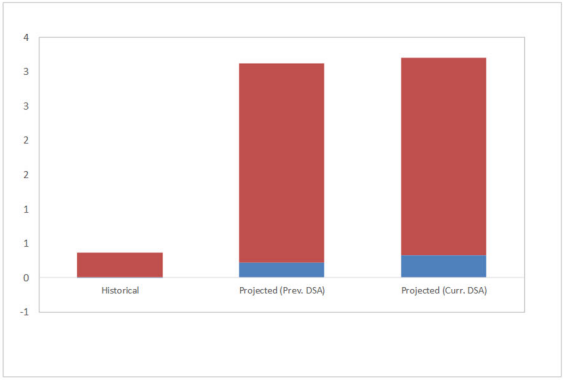


1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



Contribution to Real GDP growth
(percent, 5-year average)



Gov. Invest. - Prev. DSA
Gov. Invest. - Curr. DSA
Priv. Invest. - Prev. DSA
Priv. Invest. - Curr. DSA

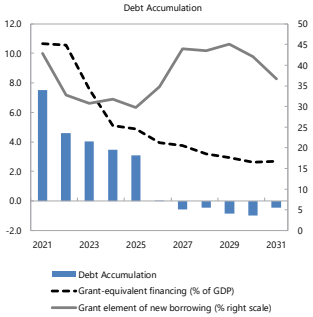
Contribution of other factors
Contribution of government capital

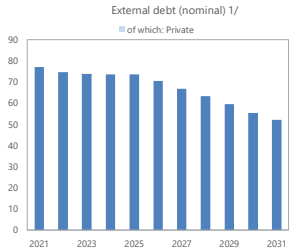
Table 1. St. Vincent & the Grenadines: External Debt Sustainability Framework, Baseline Scenario, 2018–41

(In percent of GDP, unless otherwise indicated)

	Actual			Projections														Average 8/	
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2030	2031	2032	2033	2034	2035	2040	2041	Historical	Projections
External debt (nominal) 1/	**49.3**	**53.0**	**60.3**	**76.9**	**74.6**	**73.6**	**73.5**	**73.6**	**70.5**	**55.3**	**52.0**	**47.2**	**42.6**	**38.5**	**34.8**	**19.4**	**17.2**	**48.5**	**67.2**
of which: public and publicly guaranteed (PPG)	**49.3**	**53.0**	**60.3**	**76.9**	**74.6**	**73.6**	**73.5**	**73.6**	**70.5**	**55.3**	**52.0**	**47.2**	**42.6**	**38.5**	**34.8**	**19.4**	**17.2**	**48.5**	**67.2**
Change in external debt	2.4	3.7	7.3	16.6	-2.3	-1.0	-0.1	0.1	-3.1	-4.1	-3.3	-4.8	-4.6	-4.1	-3.8	-2.6	-2.2		
Identified net debt-creating flows	**6.8**	**-0.2**	**11.8**	**21.4**	**0.9**	**3.2**	**1.2**	**1.1**	**0.3**	**0.7**	**0.8**	**0.9**	**1.0**	**1.1**	**1.2**	**1.7**	**2.2**	**5.4**	**2.8**
Non-interest current account deficit	**11.0**	**8.3**	**15.1**	**21.1**	**10.7**	**12.5**	**9.5**	**8.7**	**7.8**	**8.3**	**8.4**	**8.4**	**8.6**	**8.7**	**8.7**	**9.0**	**9.2**	**18.1**	**10.1**
Deficit in balance of goods and services	17.0	14.0	20.1	26.9	15.3	16.0	10.9	11.5	12.8	12.8	12.8	12.8	12.8	12.8	12.8	12.8	12.9	**22.1**	**14.3**
Exports	38.0	39.3	21.4	19.4	32.6	38.2	43.9	43.6	42.3	42.3	42.3	42.3	42.3	42.3	42.3	42.3	42.8		
Imports	55.1	53.2	41.6	46.3	47.9	54.2	54.8	55.0	55.1	55.1	55.1	55.1	55.1	55.1	55.1	55.1	55.8		
Net current transfers (negative = inflow)	-5.1	-5.1	-5.0	-5.6	-5.0	-4.9	-4.9	-4.8	-4.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	**-4.1**	**-2.7**
of which: official	-0.7	-2.8	-2.4	-2.2	-7.2	-4.8	-2.5	-2.5	-2.3	-2.3	-2.3	-2.3	-2.3	-2.3	-2.3	-2.3	-2.3		
Other current account flows (negative = net inflow)	-0.9	-0.6	-0.1	-0.2	0.5	1.4	3.4	2.0	-0.2	-4.5	-4.4	-4.3	-4.2	-4.1	-4.1	-3.8	-3.7	**0.1**	**-1.5**
Net FDI (negative = inflow)	**-4.2**	**-9.1**	**-6.9**	**-4.6**	**-5.6**	**-6.9**	**-7.1**	**-7.1**	**-7.4**	**-7.4**	**-7.4**	**-7.4**	**-7.4**	**-7.4**	**-7.4**	**-7.4**	**-7.4**	**-13.3**	**-6.9**
Endogenous debt dynamics 2/	**0.0**	**0.6**	**3.6**	**4.9**	**-4.3**	**-2.5**	**-1.1**	**-0.5**	**-0.1**	**-0.2**	**-0.2**	**-0.2**	**-0.2**	**-0.2**	**-0.1**	**0.0**	**0.5**		
Contribution from nominal interest rate	1.1	1.4	1.3	1.1	1.5	1.8	1.8	1.8	1.8	1.3	1.2	1.1	1.0	0.9	0.9	0.6	0.5		
Contribution from real GDP growth	-1.0	-0.2	2.1	3.8	-5.8	-4.2	-2.9	-2.3	-1.9	-1.5	-1.4	-1.3	-1.2	-1.1	-1.0	-0.6	-0.1		
Contribution from price and exchange rate changes	-0.1	-0.6	0.3	…	…	…	…	…	…	…	…	…	…	…	…	…	…		
Residual 3/	**-4.5**	**3.9**	**-4.5**	**-4.8**	**-3.1**	**-4.2**	**-1.3**	**-1.0**	**-3.4**	**-4.8**	**-4.1**	**-5.7**	**-5.6**	**-5.2**	**-5.0**	**-4.3**	**-4.4**	**-3.4**	**-3.6**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators																			
PV of PPG external debt-to-GDP ratio	**…**	**…**	**64**	**75**	**71**	**69**	**68**	**68**	**65**	**51**	**48**	**44**	**40.7**	**37**	**34**	**21**	**19**		
PV of PPG external debt-to-exports ratio	**…**	**…**	**297**	**385**	**219**	**181**	**155**	**155**	**152**	**120**	**114**	**105**	**96**	**88**	**81**	**49**	**44**		
PPG debt service-to-exports ratio	**13**	**17**	**25**	**31**	**19**	**15**	**13**	**14**	**15**	**11**	**10**	**10**	**10**	**9**	**9**	**7**	**6**		
PPG debt service-to-revenue ratio	**11**	**15**	**11**	**13**	**13**	**12**	**12**	**13**	**13**	**10**	**9**	**9**	**9**	**8**	**8**	**6**	**6**		
Gross external financing need (Million of U.S. dollars)	95.2	48.1	106.1	169.5	93.6	104.8	77.1	77.6	71.8	73.2	73.8	75.6	78.8	81.6	82.7	93.0	96.0		
Key macroeconomic assumptions																			
Real GDP growth (in percent)	2.2	0.5	-3.8	-6.1	8.3	6.1	4.2	3.3	2.7	2.7	2.7	2.7	2.7	2.7	2.7	2.7	0.3	**0.7**	**2.9**
GDP deflator in US dollar terms (change in percent)	0.2	1.2	-0.5	1.5	2.8	2.4	2.3	2.1	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.8	**0.8**	**2.1**
Effective interest rate (percent) 4/	2.5	2.9	2.3	1.7	2.2	2.6	2.6	2.6	2.6	2.3	2.3	2.3	2.3	2.3	2.5	2.7	2.7	**2.5**	**2.4**
Growth of exports of G&S (US dollar terms, in percent)	5.1	5.0	-47.7	-13.6	86.6	27.4	22.6	4.6	1.8	4.8	4.8	4.8	4.8	4.8	4.8	4.8	4.3	**1.7**	**14.0**
Growth of imports of G&S (US dollar terms, in percent)	5.8	-1.7	-25.2	6.2	15.0	23.1	7.9	5.8	5.0	4.8	4.8	4.8	4.8	4.8	4.8	4.8	4.3	**-1.2**	**7.9**
Grant element of new public sector borrowing (in percent)	…	…	…	42.9	32.8	30.7	31.7	29.7	34.7	42.1	36.7	44.9	44.9	38.7	38.7	38.7	38.7	**…**	**37.6**
Government revenues (excluding grants, in percent of GDP)	44.8	44.9	47.8	46.7	47.5	47.5	47.5	47.5	47.5	47.5	47.5	47.5	47.5	47.5	47.5	47.5	47.7	**44.6**	**47.4**
Aid flows (in Million of US dollars) 5/	340.6	381.9	403.1	98.1	81.8	59.0	45.7	43.1	41.1	36.4	34.0	30.2	31.4	32.7	34.0	41.6	42.8		
Grant-equivalent financing (in percent of GDP) 6/	…	…	…	10.7	10.6	7.6	5.1	4.9	3.9	2.6	2.7	2.0	2.0	2.1	2.1	2.0	2.0	**…**	**5.3**
Grant-equivalent financing (in percent of external financing) 6/	…	…	…	50.1	60.8	54.5	47.6	46.4	56.1	68.7	63.1	85.6	86.1	80.2	80.8	83.7	84.1	**…**	**58.7**
Nominal GDP (Million of US dollars)	811	825	790	753	838	911	971	1,024	1,074	1,295	1,357	1,422	1,491	1,562	1,637	2,070	2,135		
Nominal dollar GDP growth	2.4	1.7	-4.3	-4.7	11.4	8.7	6.6	5.5	4.8	4.8	4.8	4.8	4.8	4.8	4.8	4.8	3.1	**1.5**	**5.1**
Memorandum items:																			
PV of external debt 7/	…	…	63.8	74.8	71.3	69.3	68.2	67.6	64.6	50.9	48.1	44.4	40.7	37.4	34.2	20.7	18.7		
In percent of exports	…	…	297.3	384.6	218.7	181.4	155.4	155.2	152.5	120.2	113.7	104.8	96.1	88.3	80.8	48.8	43.6		
Total external debt service-to-exports ratio	12.9	17.0	24.8	31.2	18.6	15.4	12.7	13.6	14.8	11.2	10.4	10.0	9.7	9.3	8.9	6.7	6.4		
PV of PPG external debt (in Million of US dollars)			503.3	562.8	597.3	631.0	662.8	692.9	693.2	659.4	653.5	631.0	606.8	584.2	560.5	427.7	398.6		
(PVt-PVt-1)/GDPt-1 (in percent)				7.5	4.6	4.0	3.5	3.1	0.0	-1.0	-0.5	-1.7	-1.7	-1.5	-1.5	-1.4	-1.4		
Non-interest current account deficit that stabilizes debt ratio	8.6	4.6	7.8	4.5	13.0	13.5	9.6	8.6	10.9	12.4	11.6	13.3	13.2	12.7	12.4	11.6	11.4		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

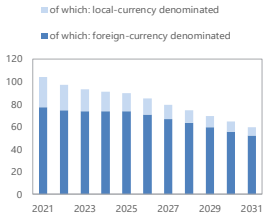
Table 2. St. Vincent & the Grenadines: Public Sector Debt Sustainability Framework, Baseline Scenario, 2018–41

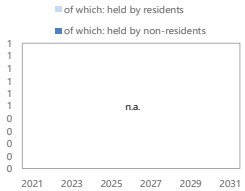
(In percent of GDP, unless otherwise indicated)

	Actual			Projections											Average 6/	
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2030	2031	2035	2040	2041	Historical	Projections
Public sector debt 1/	**75.6**	**75.2**	**86.9**	**103.7**	**96.8**	**93.2**	**90.9**	**89.4**	**84.8**	**64.5**	**59.4**	**42.9**	**30.8**	**29.1**	**77.0**	**82.4**
of which: external debt	**49.3**	**53.0**	**60.3**	**76.9**	**74.6**	**73.6**	**73.5**	**73.6**	**70.5**	**55.3**	**52.0**	**34.8**	**19.4**	**17.2**	**48.5**	**67.2**
Change in public sector debt	2.1	-0.5	11.8	16.8	-6.9	-3.6	-2.2	-1.5	-4.7	-5.0	-5.1	-3.4	-2.2	-1.6		
Identified debt-creating flows	**-0.7**	**1.8**	**9.3**	**16.0**	**-6.2**	**-3.2**	**-2.0**	**-1.3**	**-4.5**	**-4.8**	**-4.9**	**-3.3**	**-2.2**	**-1.5**	**1.0**	**-2.3**
Primary deficit	**-1.5**	**0.5**	**3.2**	**9.6**	**1.1**	**1.4**	**0.8**	**0.5**	**-3.2**	**-3.6**	**-3.8**	**-2.7**	**-2.0**	**-2.0**	**-0.4**	**-0.7**
Revenue and grants	46.7	48.2	50.2	49.4	54.8	52.3	50.0	50.0	49.8	49.2	49.3	49.2	49.2	49.4	**47.5**	**50.3**
of which: grants	1.8	3.3	2.4	2.7	7.2	4.8	2.5	2.5	2.3	1.8	1.8	1.8	1.8	1.8		
Primary (noninterest) expenditure	45.2	48.7	53.4	59.0	55.9	53.7	50.8	50.5	46.6	45.6	45.4	46.6	47.3	47.4	**47.1**	**49.6**
Automatic debt dynamics	**0.8**	**1.3**	**6.0**	**6.4**	**-7.3**	**-4.6**	**-2.8**	**-1.8**	**-1.3**	**-1.1**	**-1.1**	**-0.6**	**-0.2**	**0.5**		
Contribution from interest rate/growth differential	-0.2	1.0	5.1	6.4	-7.3	-4.6	-2.8	-1.8	-1.3	-1.1	-1.1	-0.6	-0.2	0.5		
of which: contribution from average real interest rate	1.3	1.4	2.1	0.8	0.7	1.0	1.0	1.1	1.1	0.7	0.6	0.6	0.7	0.6		
of which: contribution from real GDP growth	-1.6	-0.4	2.9	5.6	-8.0	-5.6	-3.8	-2.9	-2.4	-1.8	-1.7	-1.2	-0.9	-0.1		
Contribution from real exchange rate depreciation	1.0	0.3	1.0	...	...	...	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.2**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**2.9**	**-2.3**	**2.5**	**0.8**	**-0.7**	**-0.5**	**-0.2**	**-0.2**	**-0.2**	**-0.2**	**-0.2**	**-0.1**	**0.0**	**-0.2**	**1.1**	**-0.2**
Sustainability indicators																
PV of public debt-to-GDP ratio 2/	**...**	**...**	**90**	**101.6**	**93**	**89**	**86**	**83**	**79**	**60**	**55**	**42**	**32**	**31**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**180**	**206**	**171**	**170**	**171**	**167**	**158**	**122**	**113**	**86**	**65**	**62**		
Debt service-to-revenue and grants ratio 3/	**20**	**24**	**20**	**22**	**20**	**18**	**18**	**18**	**18**	**13**	**12**	**10**	**10**	**10**		
Gross financing need 4/	7.8	11.8	13.4	20.5	12.3	11.1	9.9	9.4	5.9	2.7	2.1	2.5	2.8	2.8		
Key macroeconomic and fiscal assumptions																
Real GDP growth (in percent)	2.2	0.5	-3.8	-6.1	8.3	6.1	4.2	3.3	2.7	2.7	2.7	2.7	2.7	0.3	**0.7**	**2.9**
Average nominal interest rate on external debt (in percent)	2.5	2.9	2.3	1.7	2.2	2.6	2.6	2.6	2.6	2.3	2.3	2.5	2.7	2.7	**2.5**	**2.4**
Average real interest rate on domestic debt (in percent)	5.0	3.2	6.6	3.1	1.7	2.4	2.7	3.2	3.3	4.0	4.1	4.2	4.6	4.0	**4.8**	**3.2**
Real exchange rate depreciation (in percent, + indicates depreciation)	2.2	0.6	1.7	...	...	...	...	...	...	...	...	...	...	...	**0.9**	**...**
Inflation rate (GDP deflator, in percent)	0.2	1.2	-0.5	1.5	2.8	2.4	2.3	2.1	2.0	2.0	2.0	2.0	2.0	2.8	**0.8**	**2.1**
Growth of real primary spending (deflated by GDP deflator, in percent)	1.1	8.3	5.6	3.8	2.7	2.0	-1.4	2.7	-5.3	2.4	2.2	3.4	2.7	0.7	**1.7**	**1.4**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-3.6	0.9	-8.5	-7.2	8.0	5.1	3.1	2.0	1.4	1.4	1.3	0.7	0.2	-0.4	**-3.7**	**1.8**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, government-guaranteed debt . Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. St. Vincent & the Grenadines: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2021–31

(In Percent)

	Projections 1/										
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
	PV of debt-to GDP ratio										
Baseline	**75**	**71**	**69**	**68**	**68**	**65**	**61**	**58**	**54**	**51**	**48**
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	**75**	**78**	**80**	**84**	**88**	**90**	**92**	**93**	**94**	**96**	**97**
B. Bound Tests											
B1. Real GDP growth	**75**	**83**	**90**	**88**	**88**	**84**	**79**	**75**	**70**	**66**	**62**
B2. Primary balance	**75**	**72**	**72**	**71**	**70**	**67**	**63**	**60**	**57**	**53**	**50**
B3. Exports	**75**	**86**	**104**	**102**	**101**	**97**	**93**	**90**	**86**	**81**	**77**
B4. Other flows 3/	**75**	**76**	**79**	**78**	**77**	**74**	**70**	**67**	**63**	**60**	**56**
B5. Depreciation	**75**	**90**	**83**	**81**	**81**	**77**	**73**	**69**	**64**	**60**	**57**
B6. Combination of B1-B5	**75**	**102**	**110**	**108**	**107**	**103**	**98**	**94**	**89**	**83**	**79**
C. Tailored Tests											
C1. Combined contingent liabilities	**75**	**74**	**72**	**71**	**70**	**67**	**64**	**61**	**57**	**54**	**51**
C2. Natural disaster	**75**	**78**	**77**	**76**	**76**	**73**	**70**	**67**	**64**	**61**	**58**
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40
	PV of debt-to-exports ratio										
Baseline	**385**	**219**	**181**	155	155	152	144	137	128	120	114
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	**385**	**239**	**210**	**192**	**203**	**213**	**216**	**220**	**223**	**226**	**230**
B. Bound Tests											
B1. Real GDP growth	**385**	**219**	**181**	155	155	152	144	137	128	120	114
B2. Primary balance	**385**	**222**	**188**	161	161	158	150	142	134	126	119
B3. Exports	**385**	**594**	**953**	**814**	**811**	**806**	**774**	**744**	**712**	**676**	**638**
B4. Other flows 3/	**385**	**234**	**207**	177	177	175	166	158	150	141	133
B5. Depreciation	**385**	**219**	172	148	147	145	136	129	121	113	106
B6. Combination of B1-B5	**385**	**538**	**218**	**535**	**534**	**528**	**504**	**481**	**457**	**429**	**405**
C. Tailored Tests											
C1. Combined contingent liabilities	**385**	**227**	**189**	162	161	159	151	143	135	127	120
C2. Natural disaster	**385**	**241**	**202**	173	174	173	165	158	151	144	138
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180
	Debt service-to-exports ratio										
Baseline	**31**	**19**	**15**	13	14	15	13	12	12	11	10
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	**31**	**20**	**18**	**16**	**17**	**20**	**18**	**18**	**18**	**18**	**17**
B. Bound Tests											
B1. Real GDP growth	**31**	**19**	**15**	13	14	15	13	12	12	11	10
B2. Primary balance	**31**	**19**	**16**	13	14	15	13	12	12	11	11
B3. Exports	**31**	**43**	**60**	**54**	**57**	**61**	**54**	**51**	**50**	**52**	**56**
B4. Other flows 3/	**31**	**19**	**16**	13	14	**15**	14	13	12	12	12
B5. Depreciation	**31**	**19**	**15**	13	13	15	13	12	12	11	10
B6. Combination of B1-B5	**31**	**38**	**47**	**39**	**42**	**45**	**40**	**37**	**36**	**39**	**36**
C. Tailored Tests											
C1. Combined contingent liabilities	**31**	**19**	**16**	13	14	**15**	13	12	12	11	11
C2. Natural disaster	**31**	**19**	**16**	13	14	**16**	14	13	13	12	11
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15
	Debt service-to-revenue ratio										
Baseline	13	13	12	12	13	13	12	11	11	10	9
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	13	14	15	14	16	18	16	16	16	16	15
B. Bound Tests											
B1. Real GDP growth	13	15	16	15	16	17	15	14	14	13	12
B2. Primary balance	13	13	12	12	13	13	12	11	11	10	10
B3. Exports	13	13	14	14	15	16	14	13	13	13	14
B4. Other flows 3/	13	13	13	12	13	14	12	11	11	11	11
B5. Depreciation	13	16	16	15	15	16	14	13	13	12	11
B6. Combination of B1-B5	13	15	17	17	18	**18**	16	15	15	16	15
C. Tailored Tests											
C1. Combined contingent liabilities	13	13	13	12	13	13	12	11	11	10	9
C2. Natural disaster	13	13	13	12	13	14	12	11	11	10	10
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. St. Vincent & the Grenadines: Sensitivity Analysis for Key Indicators of Public Debt, 2021–31

	Projections 1/										
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
PV of Debt-to-GDP Ratio											
Baseline	**102**	**93**	**89**	**86**	**83**	**79**	**74**	**69**	**64**	**60**	**55**
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	**102**	**101**	**102**	**102**	**103**	**103**	**102**	**102**	**101**	**101**	**101**
B. Bound Tests											
B1. Real GDP growth	**102**	**113**	**130**	**135**	**142**	**145**	**148**	**151**	**154**	**157**	**159**
B2. Primary balance	**102**	**95**	**92**	**88**	**86**	**82**	**76**	**72**	**67**	**63**	**58**
B3. Exports	**102**	**105**	**118**	**114**	**112**	**107**	**101**	**96**	**92**	**87**	**81**
B4. Other flows 3/	**102**	**98**	**99**	**95**	**93**	**88**	**83**	**78**	**74**	**69**	**64**
B5. Depreciation	**102**	**110**	**101**	**94**	**88**	**81**	**73**	**66**	**59**	53	46
B6. Combination of B1-B5	**102**	**98**	**99**	**100**	**98**	**93**	**88**	**83**	**79**	**74**	**69**
C. Tailored Tests											
C1. Combined contingent liabilities	**102**	**97**	**92**	**89**	**87**	**82**	**77**	**72**	**67**	**63**	**58**
C2. Natural disaster	**102**	**102**	**97**	**95**	**93**	**88**	**84**	**79**	**75**	**71**	**66**
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	206	171	170	171	167	158	148	140	131	122	113
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	206	183	192	202	203	203	201	203	202	202	201
B. Bound Tests											
B1. Real GDP growth	206	203	243	267	279	287	292	302	309	315	320
B2. Primary balance	206	173	175	177	172	164	153	145	136	127	118
B3. Exports	206	192	226	228	223	214	204	196	186	176	163
B4. Other flows 3/	206	180	189	190	186	177	167	159	149	140	130
B5. Depreciation	206	204	195	189	178	163	148	134	120	107	94
B6. Combination of B1-B5	206	178	188	198	195	186	176	168	159	150	140
C. Tailored Tests											
C1. Combined contingent liabilities	206	177	176	178	173	165	154	146	137	128	119
C2. Natural disaster	206	186	186	189	185	177	168	160	152	144	135
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	22	20	18	18	18	18	16	15	13	13	12
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	22	22	21	22	22	24	22	21	20	19	19
B. Bound Tests											
B1. Real GDP growth	22	23	24	26	26	27	25	24	23	24	25
B2. Primary balance	22	20	19	19	18	18	17	15	14	13	12
B3. Exports	22	20	19	20	19	20	18	16	15	15	16
B4. Other flows 3/	22	20	19	19	18	19	17	15	14	14	13
B5. Depreciation	22	21	21	21	21	21	19	17	16	15	13
B6. Combination of B1-B5	22	21	20	20	20	21	19	17	16	15	14
C. Tailored Tests											
C1. Combined contingent liabilities	22	20	19	18	18	18	17	15	14	13	12
C2. Natural disaster	22	21	20	19	19	19	17	16	15	14	13
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.

1/ A bold value indicates a breach of the benchmark.

2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.

3/ Includes official and private transfers and FDI.